

bargain-priced, just 20 or 25 unrelated investments—a number sufficient for diversification of risk.

THE BURGEONING GROWTH OF INSTITUTIONAL INVESTING AND ALTERNATIVE INVESTMENT VEHICLES

One of the most important changes in the investment landscape over the past nine decades has been the ascendance of institutional investing. In the 1930s, individual investors dominated the stock market. In the 1950s, Keith Funston, then the president of the New York Stock Exchange, exhorted the public to “own your share of American business.” But even as this message was being broadcast, pension funds and other institutions were amassing vast amounts of capital. Together with endowments and foundations, insurance companies, and sovereign wealth funds, as well as mutual funds and other commingled funds for individuals, these institutions came to dominate both the trading and ownership of publicly traded securities.

The advent of these large, professionally managed pools of capital have not brought a longer-term orientation to the financial markets. Institutional managers find it hard to have such an outlook when their committees and external consultants keep making increasingly short-term performance comparisons. Constant performance assessment inevitably leads to relative performance comparisons. As with animals in the wild, in investment management wandering from the herd is risky, subjecting managers to possible relative underperformance and client termination. While the only way to outperform the herd is to be different, only a few investors can weather the inevitable periods of relative underperformance.

A second major development in the world of institutional investing has been the rise of so-called alternative investments—a catch-all category that includes venture capital, leveraged buyouts, private equity, and private credit, as well as hedge funds. As the